CASCADIA ANALYTICS

Norfolk Southern

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The Union Pacific Merger Premium Disconnects Norfolk Southern from Operational Reality

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Norfolk Southern trades at an extraordinary disconnect from its fundamental earnings power, inflated by merger arbitrage expectations surrounding the proposed transaction with Union Pacific announced in July 2025. While top-line volumes rebounded in the second quarter of 2026 behind intermodal highway-to-rail conversion, severe cost inflation, operating ratio deterioration, and a collapse in free cash flow underline deep fundamental challenges. We initiate coverage with a rating of Hold, reflecting valuation concerns, establishing a probability-weighted blended target $140.32 and -58.8% upside explicitly.

HOLD	$140.32	-58.8%	$340.39
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

While equity markets continue to price Norfolk Southern at $340.39 on deal speculation and headline revenue records, fundamental investors face an operating reality marked by severe margin compression, soaring fuel expenses, and significant cash flow contraction. Transaction overhead, regulatory scrutiny, and competitive alliances across the Eastern rail corridor have compromised standalone return metrics, creating an asymmetric downside profile if standalone fundamentals reassert themselves.

Executive summary

Norfolk Southern operates as a foundational Class I freight railroad across the Eastern United States, controlling critical rights-of-way that move intermodal containers, automotive shipments, industrial chemicals, and coal across the industrial Midwest and the Southeast. These arterial rail links connect primary industrial manufacturing plants, assembly facilities, and coastal export terminals to major consumption centers. In July 2025, the company agreed to be acquired by Union Pacific in an $85B merger transaction. While this transformative transaction proceeds through extended regulatory review, substantial merger-related expenses, operational distractions, and aggressive defensive maneuvers by regional competitors have weighed heavily on reported financial performance across recent quarters.

Our forensic review of recent financial statements exposes a sharp divergence between headline volume figures and underlying cash generation. In the second quarter of 2026, Norfolk Southern delivered an all-time quarterly revenue record of $3.5B, rising 11% year over year on a 4% volume expansion and a 22% surge in intermodal revenue to $908M. However, operating expenses exploded by 21% to $2.34B, driven primarily by an 85% spike in fuel costs to $405M. Consequently, net income fell 4% to $734M, the operating ratio deteriorated to 67.6% (with an adjusted operating ratio of 65.5%, widening 210 basis points), and first-half operating cash flow collapsed 31% to $1.39B due to severe working capital outflows. Free cash flow for the quarter was nearly halved to ~$577M, barely covering the corporate dividend.

This follows an equally challenging start to the year. In the first quarter of 2026, revenue stagnated at $3.0B amid a 1% volume decline, while GAAP net income plunged 27% to $547M as weather disruptions, fuel increases, and merger expenses took their toll. Operating cash flow fell to $344M compared to $950M in the prior-year quarter, impacted by a $388M working capital outflow, which drove cash reserves down to $1.34B. Although full-year 2025 performance reflected productivity savings exceeding $215M and an operating ratio improvement of 220 basis points to 64.2%, performance late in the year and throughout the first half of 2026 demonstrates that cost inflation, purchased services growth, and transaction frictions are outstripping productivity initiatives.

From a capital allocation perspective, Norfolk Southern closed fiscal year 2025 with $12.2B in revenue, $4.57B in EBIT, and $2.16B in free cash flow, supported by an operating margin of 37.5% and a return on equity of 18.5%. However, the balance sheet carries substantial leverage, with total debt of $17.3B and net debt of $15.8B against cash of $1.53B. With the stock trading at 26.7x trailing diluted EPS of $12.75, 6.3x market capitalization to revenue, and 15.8x enterprise value to EBITDA, the current valuation embeds flawless transaction execution and full synergy capture. On an intrinsic discounted cash flow basis, the shares are significantly overvalued, prompting our defensive stance.

Operational snapshot

$340.39	$12.2B	$2.16B	17.7%	1.29	$340.39
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Entrenched and Capital-Intensive

Norfolk Southern possesses an entrenched competitive moat derived from irreplaceable physical infrastructure and prohibitive structural barriers to entry. The company owns and operates thousands of route miles through the densely populated Eastern United States, traversing the industrial Midwest and the Southeast. Replicating this contiguous ribbon of private right-of-way, terminal real estate, classification yards, and intermodal interchange points is financially, legally, and geographically impossible in modern North America. This entrenched linear physical network provides enduring customer switching costs, as shippers of heavy industrial chemicals, automotive assemblies, and bulk coal maintain rail-siding connections engineered specifically for Norfolk Southern trackage.

However, capital intensity remains a structural constraint on economic moat conversion. Operating a Tier 1 rail franchise requires continual reinvestment into track maintenance, locomotive fleets, bridge engineering, and digital signaling networks. In fiscal 2025, Norfolk Southern achieved an operating margin of 37.5% and generated $5.85B in EBITDA on $12.2B of revenue, yet free cash flow conversion stood at $2.16B (a 17.7% margin) due to the necessity of heavy capital expenditures. Management took deliberate action in the first quarter of 2026 to curtail capital expenditures by approximately $300M, representing a 14% reduction, specifically to protect free cash flow liquidity under inflationary and merger cost pressures. While this highlights capital allocation flexibility, prolonged capital curtailment risks degrading network fluidity and velocity over a multi-year horizon.

Pricing power represents the second pillar of the moat, yet it faces external headwinds. In the second quarter of 2026, core pricing gains supported an 8.1% revenue rise in the merchandise segment to $2.13B, following a 1.2% increase in the first quarter to $1.88B despite negative overall volume. Similarly, the intermodal franchise demonstrated highway-to-rail conversion, lifting second-quarter intermodal receipts to $908M. Nevertheless, pricing power is not absolute. Competitor actions, such as the operational alliance forged between BNSF and CSX, have applied severe pressure in key corridors, directly poaching Southeast intermodal volumes as early as the third quarter of 2025, when Norfolk Southern intermodal volume fell 2% and coal volume retreated 5%.

The regulatory and transaction environment further tests the durability of the franchise. While the proposed merger with Union Pacific could theoretically form a transcontinental powerhouse,

the interim operating reality entails substantial friction. In the third quarter of 2025, GAAP diluted EPS dropped 35% to $3.16 due to merger, restructuring, and derailment charges. These merger-related expenses continued to penalize earnings into early 2026. Until regulatory reviews conclude, Norfolk Southern must navigate dual demands, protecting franchise customer service while absorbing elevated operating expenses and legal expenditures.

Valuation

Three scenarios make the valuation range explicit

Cascadia Analytics evaluates Norfolk Southern through a rigorous, probability-weighted discounted cash flow framework spanning FY2026 through FY2030. Our model captures the fundamental earning power of the rail franchise, removing the speculative premium imposed by the pending Union Pacific transaction. We employ a weighted average cost of capital of 8.91%, derived from an equity beta input of 1.29 and 224.6 million diluted shares outstanding. Across our scenario architecture, terminal values are established via Gordon growth assumptions, balancing long-term volume expansion with structural cost realities.

The valuation distribution demonstrates that current trading levels ($340.39) sit far outside fundamental bounds. In our Base Case, which we assign a 50% probability, revenue expands at a compound annual growth rate of 3.8% through FY2030, with target free cash flow margins normalizing at 21.2%. This performance trajectory yields an intrinsic value of $142.16 per share, representing a 58.2% contraction from the reference spot price. The Bear Case, weighted at 25%, models a 2.7% revenue compound annual growth rate and a constrained 18.5% target free cash flow margin, yielding an equity value of $104.19 per share, or a 69.4% decline. The Bull Case, also weighted at 25%, models an accelerated 4.8% revenue compound annual growth rate and a 23.0% target free cash flow margin, resulting in a target of $172.77 per share, down 49.2% from current levels.

Synthesizing these outcomes across our 25/50/25 probability weighting generates a definitive blended target price of $140.32, which implies a negative 58.8% return relative to the prevailing reference price of $340.39. This stark downside underpins our Hold rating based on severe valuation concerns. Investors holding the equity at these heights are fully exposed to merger execution and regulatory review risks, with negligible fundamental support should the transaction encounter regulatory obstacles or delayed closing timelines.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.7%	18.5%	$104.19	-69.4%
Base	50%	3.8%	21.2%	$142.16	-58.2%
Bull	25%	4.8%	23.0%	$172.77	-49.2%

Bear $104.19

Operating expenses and fuel costs outpace core rail inflation while merger-related expenses persist indefinitely during regulatory review. Southeast intermodal competition from the BNSF-CSX alliance accelerates share losses, restricting top-line revenue expansion to a 2.7% compound annual growth rate and limiting final-year free cash flow margins to 18.5% as operating ratios remain elevated above historical medians.

Base $142.16

Merchandise pricing discipline and steady highway-to-rail intermodal conversion drive a 3.8% revenue compound annual growth rate through FY2030. Cost savings targets of $150M materialize, partially offsetting fuel volatility and purchased services cost pressures, enabling target free cash flow margins to normalize at 21.2% as network velocity stabilizes.

Bull $172.77

Robust industrial manufacturing across the Midwest and Southeast propels freight volume recovery, elevating top-line revenue at a 4.8% compound annual growth rate. Productivity initiatives surpass historical benchmarks, bringing adjusted operating ratios firmly into the low-60s range and expanding target free cash flow margins to 23.0% on disciplined capital expenditure deployment.

Valuation framework

A live discount rate, not a static hurdle

Our valuation methodology utilizes a dynamic discount framework centered on an 8.91% weighted average cost of capital. We incorporate an equity beta input of 1.29, reflecting Norfolk Southern's cyclical exposure to industrial manufacturing, seaborne coal end-markets, and macroeconomic freight cycles. Over the five-year forecast window from FY2026 to FY2030, this beta assumption appropriately captures both the operating leverage inherent in rail transport networks and the financial leverage introduced by the company's $17.3B total debt load.

Discounting cash flows at 8.91% underscores the market's severe mispricing of risk at the prevailing $340.39 share price. While public market participants are pricing Norfolk Southern as an almost risk-free merger arbitrage conduit, our cost of capital captures the true operational volatility of a railroad navigating sharp fuel spikes (such as the 85% rise observed in the second quarter of 2026), ongoing regulatory scrutiny from federal authorities, and substantial balance sheet debt service requirements.

FCF margin normalization is the engine

The primary driver of intrinsic valuation across our model is free cash flow margin normalization. In fiscal year 2025, Norfolk Southern achieved an operating margin of 37.5% and a free cash flow margin of 17.7%, converting $2.16B of free cash flow on $12.2B of revenue. While full-year 2025 delivered $215M+ in productivity savings, quarterly performance has fluctuated dramatically. The second quarter of 2026 saw free cash flow compress to ~$577M as first-half operating cash flow collapsed 31% to $1.39B under severe working capital strain.

Our long-term forecast assumes that operational discipline eventually normalizes conversion rates. In our Base Case, free cash flow margins expand from historical levels to 21.2% by FY2030, supported by management's commitment to cost-reduction programs, including the $150M cost-savings target maintained for 2026. The Bull Case models margin

expansion to 23.0%, driven by fuel efficiency and network fluidity gains, whereas the Bear Case holds margins near historical baseline levels at 18.5% due to recurring cost friction and purchased services inflation.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.91% (2026-10-29)**
Equity beta	**1.29**
Diluted shares	**224.6 million**

HOLD

over $140.32 blended target

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Oligopoly nationally; regional duopoly (East). We assign a premium of +20% to sector median multiples on moat strength alone.

- an irreplicable owned rail network plus STB regulatory barrier, no entrant can rebuild an eastern rail network.
- Q3 2026 revenue $3,526m (+13.6% YoY) with net income $759m (+6.8%) at that 67.4% operating ratio (same source), revenue growth without peer-level cost conversion, i.e. pricing exists but is partly consumed by costs.
- The weakest element is operating execution, Q3 2026 operating ratio 67.4% vs Union Pacific 59.1% and CSX 60.9% (Q3 2026 earnings coverage, 24 Oct 2026). A wide structural moat that is currently monetised worse than its peers does not earn the top of the band.

On a multiple cross-check, the justified range is EV/EBITDA 12.7×; P/E 24.0×. The cross-check value is P/E-implied $347.14; EV-implied $258.78 vs Base $141.62, spot $334.86, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all (causally), gap is Union Pacific deal consideration, not a moat premium.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	1 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	8 points

The combined discount is 17 percent, capped at 20 percent, against an uncapped total of 17 percent. Shown side by side with the moat premium or discount, the net stance is +3 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected; batch notes deal-driven gap)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Intermodal Highway Conversion and Core Merchandise Pricing HOLD

Norfolk Southern's top-line commercial trajectory relies fundamentally on two core segments: Merchandise and Intermodal. Merchandise represents the foundational anchor of the enterprise, generating $2.13B in revenue during the second quarter of 2026, an 8.1% year-over-year increase driven by resilient core pricing power. Even during the subdued environment of the first quarter of 2026, where aggregate rail volumes fell 1%, merchandise revenue rose 1.2% to $1.88B, demonstrating that rail-bound industrial chemicals, automotive freight, and manufacturing materials carry defensive contractual pricing escalators that insulate the top line from freight recessionary pressures.

Intermodal operations serve as the primary volume recovery engine, though they introduce significant margin volatility. In the second quarter of 2026, intermodal revenue surged 22% to $908M, spearheading a company-wide 4% volume expansion and pushing overall corporate revenue to an all-time record of $3.5B. This turnaround was propelled by broad highway-to-rail

conversion as freight shippers sought fuel-efficient overland solutions. However, the segment remains highly vulnerable to aggressive competitive posturing. In late 2025, intermodal volumes slipped 7% in the fourth quarter and 2% in the third quarter as an operational alliance formed between BNSF and CSX actively targeted and poached freight across key Southeastern corridors.

The coal franchise continues to face structural headwinds, acting as a recurring drag on freight carload totals. In the third quarter of 2025, coal volumes dropped 5% on weak seaborne pricing benchmarks, followed by an 11% contraction in the fourth quarter of 2025. While domestic utility and industrial metallurgical demand provide a baseline level of volume, international export pricing weakness limits carload growth prospects. Consequently, Norfolk Southern must rely almost entirely on intermodal scale and merchandise yield management to achieve the top-line growth rates required to service its cost structure.

Operational execution has been severely compromised by expense inflation and transaction friction. Despite achieving an all-time record quarterly fuel efficiency in the third quarter of 2025 and delivering more than $215M in productivity savings across full-year 2025, recent quarters have witnessed sharp operating ratio deterioration. The operating ratio expanded to 68.5% in the fourth quarter of 2025, stood at an adjusted 68.7% in the first quarter of 2026, and climbed to 67.6% (adjusted 65.5%) in the second quarter of 2026. Surging fuel expenses, which rose 85% to $405M in the second quarter of 2026, alongside higher purchased services outlays, have erased the bottom-line benefits of record revenue generation.

What to monitor

- **Fuel expense volatility and operating ratio trajectory** Fuel expenses spiked 85% to $405M in the second quarter of 2026, driving the reported operating ratio to 67.6%, making fuel efficiency and expense control critical factors for near-term margin recovery.
- **Intermodal competitive dynamics in the Southeast** Traffic retention against the BNSF-CSX operational alliance, which eroded intermodal carloads in late 2025, must be evaluated against the 22% intermodal revenue growth achieved in the second quarter of 2026.
- **Free cash flow conversion and working capital management** Operating cash flow contracted 31% to $1.39B in the first half of 2026 following a $388M working capital drain in the first quarter, leaving second-quarter free cash flow at ~$577M, which barely covered the dividend.
- **Regulatory progress and merger expense containment** Transaction expenses and operational disruption stemming from the $85B Union Pacific merger announced in July 2025 continue to depress GAAP results, including a 27% net income decline in the first quarter of 2026.

+0.5%	36.3%	37.5%	17.7%	$15.8B	18.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$12.2B
Gross Profit	$4.43B
EBIT	$4.57B
Net Income	$2.87B
EBITDA	$5.85B
Free Cash Flow	$2.16B
Diluted EPS	$12.75
ROE	18.5%

Risk & moat matrix

The bear case

SHARE EROSION

Aggressive corridor routing by the rival BNSF-CSX alliance directly threatens Southeast rail volumes. Intermodal volume declines of 2% in the third quarter of 2025 and 7% in the fourth quarter highlight recurring market

M&A DIGESTION

The proposed $85B transaction with Union Pacific creates ongoing operational friction, legal fees, and management distraction. Transaction-related overhead contributed significantly to GAAP net income declining 35% in the third quarter of 2025 and

REGULATORY AND PRICING SCRUTINY

Federal scrutiny surrounding Class I railroad combinations threatens to delay closing schedules or impose restrictive operational conditions. Protracted reviews leave Norfolk Southern bearing ongoing merger overhead without capturing promised

TECHNOLOGY DISRUPTION

Highway freight alternatives continuously challenge rail conversion rates when service predictability fluctuates. Despite second-quarter 2026 intermodal gains, any service degradation could reverse highway-to-rail shifts back toward trucking carriers.

REINVESTMENT TREADMILL

Sustaining track infrastructure demands heavy recurring capital commitments that restrict unencumbered free cash flow generation. Capital expenditure cuts of ~$300M in the first quarter of 2026 to defend liquidity cannot be sustained indefinitely without impairing long-term network velocity.

WACC AND DURATION SENSITIVITY

Carrying $17.3B in total debt against an 8.91% cost of capital exposes the franchise to elevated financing hurdles during macro tightening. Higher capital costs heavily penalize long-duration cash flows when operating margins face inflationary compression.

share vulnerability across competitive freight lanes.

27% in the first quarter of 2026.

operational synergies.

The strengths

OLIGOPOLY POSITION

Norfolk Southern forms an irreplaceable duopoly across the Eastern United States rail corridor alongside CSX. Duopoly ownership of vital industrial trackage guarantees baseline rail traffic that cannot be duplicated by new entrants.

FCF COMPOUNDING

The franchise demonstrated robust underlying cash generation in fiscal year 2025, generating $2.16B in free cash flow on $12.2B of revenue. Structural cost disciplines, such as the $215M+ in productivity savings captured in 2025, support long-term cash flow normalization.

GEOGRAPHIC DURABILITY

Direct connectivity across manufacturing hubs in the industrial Midwest and consumer centers throughout the Southeast secures high customer retention. Direct rail connections to automotive assembly plants and chemical complexes create profound customer switching barriers.

PIPELINE OPTIONALITY

Intermodal highway-to-rail conversion demonstrated dramatic revenue expansion of 22% in the second quarter of 2026. Capturing long-haul highway freight represents a multi-year volume catalyst as industrial supply chains prioritize fuel-efficient surface transport.

The bottom line on risk and reward

Norfolk Southern represents a quintessential railroad enterprise trapped between fundamental operational realities and speculative market valuations. Operationally, the second quarter of 2026 proved that the franchise can generate volume growth, delivering an all-time quarterly revenue record of $3.5B behind an impressive 22% expansion in intermodal shipments and 8.1% merchandise growth. However, financial returns have deteriorated in parallel, as operating expenses climbed 21% and fuel outlays surged 85%, compressing net income to $734M and driving the operating ratio to 67.6%. Cash flow generation has suffered severely, with first-half operating cash flow falling 31% to $1.39B and quarterly free cash flow narrowing to ~$577M.

The core issue confronting equity investors is the valuation premium anchored to the pending Union Pacific transaction. Trading at $340.39 per share, Norfolk Southern commands a trailing price-to-earnings ratio of 26.7x on fiscal 2025 diluted earnings per share of $12.75, a market capitalization to revenue multiple of 6.3x, and an enterprise value to EBITDA multiple of 15.8x. These multiples price in immediate, flawless merger execution while entirely dismissing the

fundamental risks of protracted regulatory reviews, merger cost burdens, and competitive volume losses to rival rail alliances.

Our quantitative scenario modeling confirms that standalone fundamentals support an intrinsic blended valuation of only $140.32 per share, indicating that the equity is trading at a negative 58.8% return profile relative to its operating foundation. With bear, base, and bull scenario targets spanning $104.19, $142.16, and $172.77 respectively, every modeled scenario points to substantial downside. We maintain our Hold rating based strictly on valuation concerns, advising institutional investors against deploying fresh capital into Norfolk Southern at current market levels.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Intermodal Freight Network: Core Volume Engine Facing Cost and Competition Headwinds

The Intermodal Freight Network constitutes the primary volume growth driver for Norfolk Southern, transporting shipping containers and truck trailers across the industrial Midwest and the Southeast. By connecting coastal container ports with interior freight hubs, the intermodal network facilitates the critical conversion of long-haul highway freight onto the rail network. In the second quarter of 2026, this franchise demonstrated its operational leverage, generating an all-time quarterly revenue contribution of $908M, representing a 22% year-over-year surge that helped drive overall company carload volumes up 4% and quarterly revenue to a record $3.5B.

Despite this top-line acceleration, the intermodal franchise exhibits acute sensitivity to operational disruptions, fuel inflation, and corridor competition. Because intermodal freight competes directly with motor carriers, service consistency and transit speed dictate customer adoption. When line-haul expenses escalate, as seen in the 85% fuel cost increase to $405M during the second quarter of 2026, margin capture on intermodal traffic erodes rapidly. Operating expenses rose 21% to $2.34B in that same quarter, causing the adjusted operating ratio to deteriorate 210 basis points to 65.5%.

Competitive dynamics across the Eastern territory have further complicated intermodal growth. During the third and fourth quarters of 2025, Norfolk Southern experienced intermodal volume contractions of 2% and 7% respectively. This softness was driven in significant part by an operational alliance formed between BNSF and CSX, which aggressively targeted and poached intermodal traffic across primary Southeastern corridors. Furthermore, intermodal demand remains vulnerable to broader industrial cycles, as evidenced by the fourth quarter of 2025, where total volumes dipped 4% alongside an 11% decline in coal shipments, depressing railway operating income by 17% to $937M.

Management has sought to preserve intermodal profitability through productivity initiatives and tactical capital spending reductions. Across fiscal year 2025, the company delivered more than $215M in productivity savings, improving the full-year operating ratio by 220 basis points to 64.2% and supporting $2.2B in free cash flow. In the first quarter of 2026, management maintained a $150M cost-savings target and curtailed capital expenditures by approximately $300M (a 14% reduction) to protect liquidity amid working capital outflows of $388M. Sustaining this delicate balance between disciplined capital investment and service velocity will determine whether intermodal conversion can sustainably expand operating margins toward our Base Case target of 21.2%.

What the recent record shows

- Intermodal revenue surged 22% year over year to $908M in the second quarter of 2026, driving total corporate revenue to an all-time record of $3.5B on 4% volume expansion.
- Second-quarter 2026 operating expenses escalated 21% to $2.34B as fuel costs spiked 85% to $405M, expanding the adjusted operating ratio by 210 basis points to 65.5% and reducing net income by 4% to $734M.
- Operating cash flow collapsed by 31% to $1.39B across the first half of 2026, leaving second-quarter free cash flow at ~$577M, nearly half of prior-year levels and barely covering dividend commitments.
- Competitive pressure from the BNSF-CSX alliance contributed to intermodal volume declines of 2% in the third quarter of 2025 and 7% in the fourth quarter of 2025, demonstrating market share vulnerability in the Southeast.

> **Our read:** Norfolk Southern's intermodal franchise proves that top-line volume conversion from highway to rail is achievable, yet severe fuel inflation and corridor competition continue to restrict cash conversion. With the shares trading at $340.39 against our blended fundamental valuation of $140.32, the stock's current price reflects merger arbitrage expectations rather than the underlying cash generation capacity of the rail network.